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Dr Alice Wren, Chief Executive Officer
Larkmoor Bioscience Limited

11 December 2025

Dear Alice

Project Cedar — patent status and freedom-to-operate note

You have asked us, working with your patent attorneys Hartington IP, to summarise the status of the Licensed Patents and to provide a high-level freedom-to-operate (FTO) assessment in relation to the manufacture and sale of recombinant structural-protein actives for cosmetic use in the Territory, for the purposes of the proposed licence to Verrell Beauty Group plc. This note is provided in confidence and is subject to legal professional privilege.

1. Patent portfolio

The Company's portfolio relevant to the Transaction comprises four families (LBX-P1 to LBX-P4), covering the engineered production strains, the fermentation process, the downstream purification process and cosmetic compositions respectively. Families LBX-P1 and LBX-P3 include granted patents in GB and (for LBX-P1) the validated EP designations; the remaining cases are pending. The detailed schedule is set out in Schedule 2 to the Licence Agreement. In our view the granted GB and EP claims in LBX-P1 and LBX-P3 are of reasonable scope and should provide a meaningful exclusivity position in the Field in the principal European markets.

2. Freedom to operate

Hartington IP has conducted FTO searches in respect of recombinant collagen, elastin-like polypeptide and silk-derived peptide actives produced by microbial fermentation for cosmetic use. Those searches identified a number of third-party patents in the broader field of recombinant proteins, of which three warrant particular attention: a granted EP relating to recombinant collagen expression in yeast; a US patent relating to elastin-like polypeptide purification; and a pending EP application relating to cosmetic formulations containing recombinant proteins. Hartington IP's preliminary view, with which we concur on the legal analysis, is that the Company's current processes do not fall within the claims of the two granted rights as properly construed, and that the pending application, if granted in its current form, would not be infringed by the Licensed Products as presently contemplated.

3. Risk allocation in the Licence Agreement

Consistent with the FTO position, the Licence Agreement gives only a limited title and authority warranty and expressly excludes any warranty as to validity or non-infringement (Clause 10.3). The third-party royalty deduction in Clause 7.5 provides the Licensee with a measure of protection should it become necessary to take a licence from a third party. We consider this allocation appropriate and market-standard for a transaction of this kind.

4. Recommendations

We recommend that: (a) the LBX-P4 (cosmetic compositions) family be actively prosecuted in the Territory, as it is the family most directly relevant to the Field; (b) the pending US cases be monitored and the Licensee kept informed under Clause 6.4; and (c) a watch be maintained on the third-party pending EP application identified by Hartington IP. None of these points should delay signing.

Please let us know if you would like us to expand on any aspect of this note.

Yours sincerely

James Osei
Senior Associate, Whitfield Carter LLP